



HUMAN CAPITAL FORMATION IN INDIA

Based on NCERT | Basic Learning

CREATED BY THUNDERSTUDY



1. What is Human Capital?

Imagine two people: One is educated & healthy, the other is uneducated & unhealthy. The educated and healthy person will work better and earn more.

Human Capital: People who become more productive because of education, skills, and health. Just like machines, educated humans increase production.



2. Human Resource vs Human Capital

Human Resource	Human Capital
Normal people / Raw population	Skilled & educated people
Potential for the future	Active Productivity



3. Sources of Human Capital



Education: Learning skills for better jobs and higher income.



Health: Healthy people work more days and Produce more.



On-the-Job Training: Companies train workers to become faster & skilled.



Migration: People move to places with better jobs and salaries.



Information: Knowing which courses and colleges lead to good careers.



4. Human Capital vs Physical Capital

Physical Capital	Human Capital
Machines and buildings	Skills and Knowledge
Can be sold in the market	Cannot be sold (only services)
Separate from owner	Inseparable from human body/mind



5. Human Capital vs Human Development

★ Big Board Question:



Human Capital: People = **Means** to increase production. Focus is on income.



Human Development: People = **Goal** itself. Focus is on happiness and life quality.



6. Role of Government

Government helps because poor people cannot afford education/health. Important organizations:

NCERT • UGC • AICTE • ICMR



7. Education Sector & Challenges

Goal: Spend 6% of GDP on education. Achievements are measured by Literacy rate and Youth literacy rate.

Major Challenges:



! Education for all still incomplete.



👩 Gender inequality (Female literacy is lower).



🎓 Educated unemployment (Skills don't match job needs).



Final One-Line Summary

"Human Capital Formation means investing in education, health, and skills to make people more productive and improve economic growth."

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